

Impact of US Business Cycles on Canadian Monetary Policy, 1995-2025

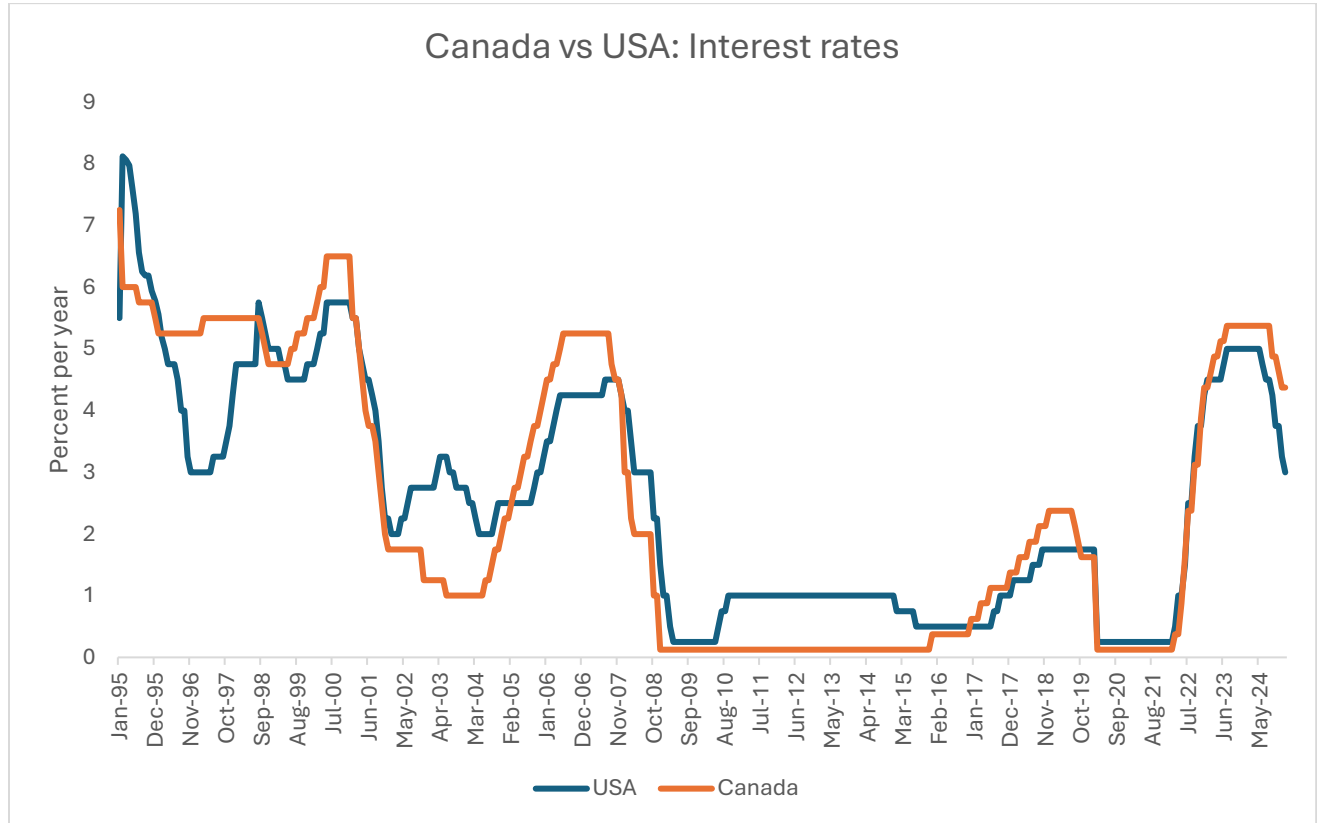
Rishabh Singh

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Summary of main results

- Policy rates between Canada and the USA show very strong co-movement (correlation = 0.93), suggesting the possibility of US impact on Canadian monetary policy.
- The unemployment rates are moderately positively correlated, with Canada having higher rates than the US, hinting at some domestic differences, but both countries had similar overall peaks and troughs.
- Inflation rates were strongly positively correlated; the interesting note to take was how both countries had very similar approaches and outcomes during times of financial crisis like the Covid -19 pandemic and the 2008 financial crisis.
- 10-year government bond yields are very strongly correlated, reflecting shared expectations about inflation and growth and suggesting strong financial market integration.
- Industrial production prices show only moderate correlation (correlation = 0.70), with noticeable differences in response to crises, highlighting more domestic influences in this area.
- Overall, the findings support that US business cycles strongly impact Canadian monetary policy, especially through financial and inflationary channels, though domestic factors still shape labor and production outcomes.

Strong Co-movement in Policy Rates between Canada and USA



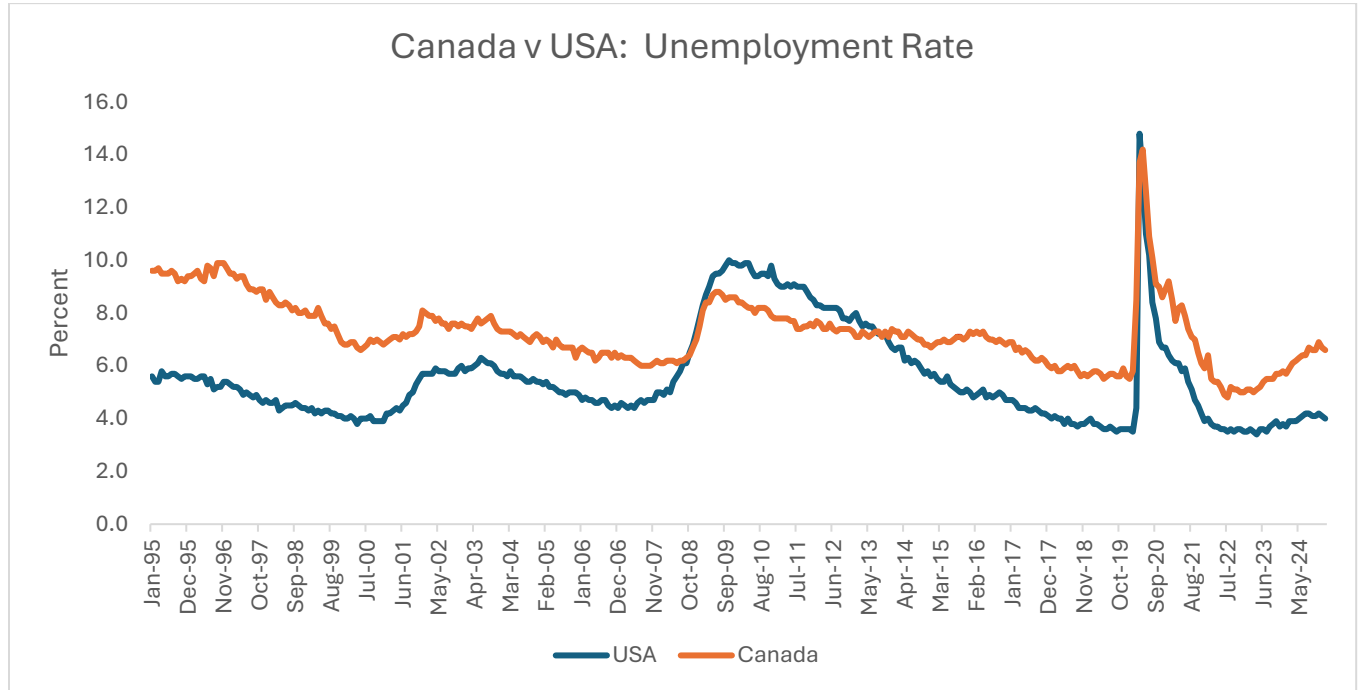
Central Bank Policy rates, Monthly, Source: [BIS database](#)

Correlation coefficient = 0.927

- The central bank policy rates in Canada and the USA display a very strong positive correlation of 0.927, indicating strong co-movement.
- The interest rates targeted by the US and Canadian central banks show very similar paths in raising and lowering interest rates over the 1995-2025 period; there are minor gaps between the two datasets, but the overall movement is quite similar.
- Significant shifts, such as the rate cuts during the 2008 financial crisis and the COVID-19 pandemic, occurred nearly simultaneously in both countries.
- The sustained alignment of interest rate movements throughout the 30-year period suggests that Canadian monetary policy is closely aligned with or influenced by US policy decisions.

Note: Policy rates show the direct decisions made by central banks. Whether Canada mirrors the US policy rate could reflect that US business cycles affect Canadian monetary policy. We can also compare unemployment rates between the two countries to see whether...

Moderate Similarity in Unemployment Rates between Canada and US

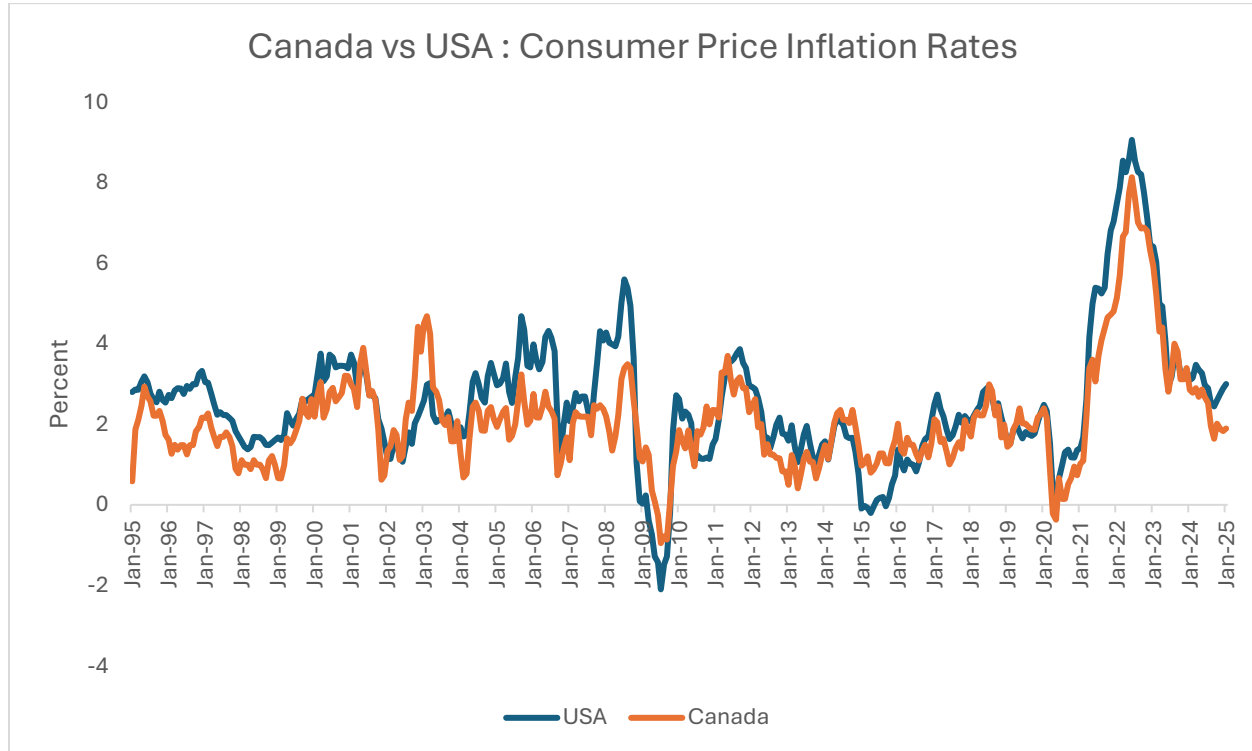


Unemployment Rate, Monthly, Seasonally Adjusted, Source: [FRED database](#) & [Statistics Canada](#)
Correlation coefficient = 0.58881

- Canada generally maintained a higher unemployment rate (except during the 2008 financial crisis). Both countries experienced sharp spikes in unemployment during the 2008 financial crisis and the 2020 COVID-19 pandemic.
- The unemployment rates have a correlation coefficient of 0.59, which is a moderate positive correlation, indicating moderate co-movement.
- The gaps in unemployment and the moderate correlation may be due to structural labor market differences or differing policy responses that cause differing recovery speeds.
- The chart suggests that Canadian labor market outcomes are influenced by US business cycles – especially during major global shocks, but the moderate correlation indicates that monetary policy is not entirely dependent on US business cycles

Note: Unemployment rates reflect labor market strength; they assess whether both economies are in similar business cycles. The difference in unemployment rates, even though interest rates suggest otherwise, suggests domestic factors play a large role in Canadian monetary policy; to prove or disprove this, we can check for similarity in inflation rates...

Strongly Synchronized Inflation Cycles Between US and Canada



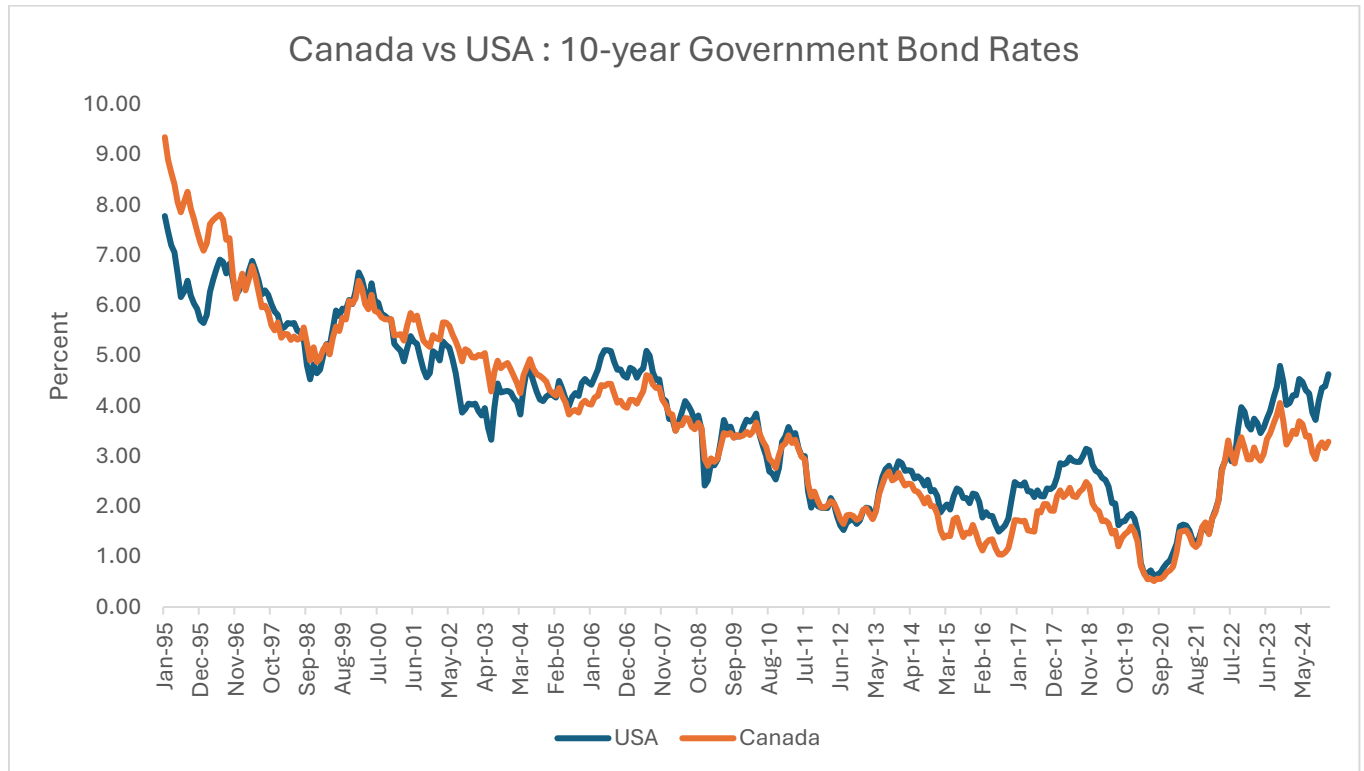
Consumer price indicators : Year-on-year changes, in per cent, source: [BIS database](#)

Correlation coefficient = 0.876862

- The inflation rates of Canada and the USA have a correlation coefficient of 0.88, suggesting a strong correlation and co-movement over the 30-year period.
- Both countries experienced similar inflation peaks and troughs, particularly during events like the 2008 financial crisis and the post-pandemic surge in 2021–2022.
- US inflation rates tend to be marginally higher and more volatile, especially after the COVID-19 pandemic.
- The similarity in inflation rates may partly explain why Canadian monetary policy often mirrors US decisions—especially during inflationary episodes. But it could also mean that both countries face similar economic shocks, which is why their policies may be similar.

Note: Inflation rates show how fast prices are rising. Inflation is one of the most important variables in monetary decisions; similar US and Canadian inflation rates could mean the US affects Canada, or that both countries face similar economic and global pressures...

Strongly Identical Long-Term Borrowing Costs



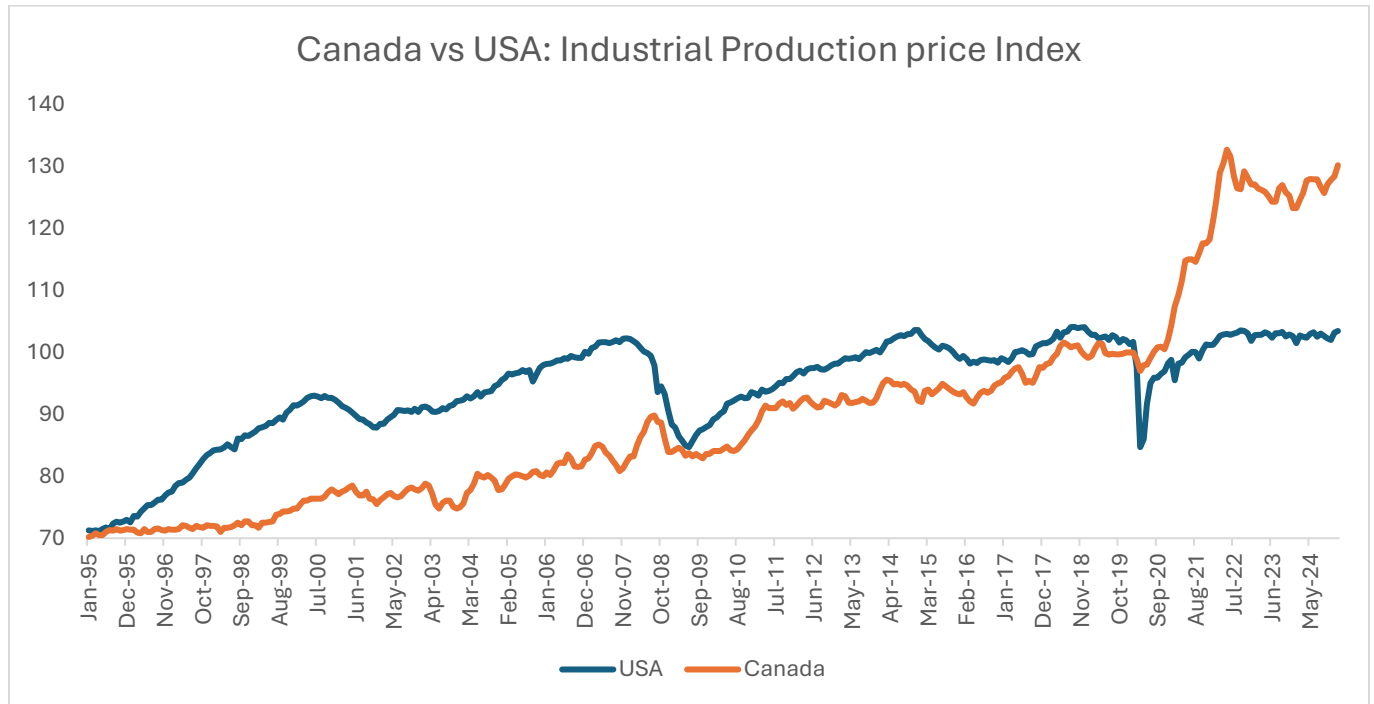
Government Bond Yields: 10-Year: Main Percent, Not Seasonally Adjusted, Source: [FRED database](#)

Correlation coefficient = 0.961377039

- The correlation coefficient is 0.96, implying a very strong positive correlation; the 10-year government bond rates in Canada and the US move in a very similar manner.
- Having identical peaks and troughs in bonds shows the possibility of joint responses to monetary policy shifts. After the COVID-19 pandemic, US bond rates are slightly higher than Canada's, but both countries still follow the same trend.
- 10-year government bond rates reflect expectations about inflation and growth. The nearly identical plots for the US and Canada suggest that financial markets in the US and Canada mirror each other or are closely intertwined.

Note: The 10-year government bond rates reflect market expectations for the future. A high correlation between Canadian and US bond rates signals strong integration and that both economies are closely linked; it could also suggest that Canadian monetary policy is influenced by US business cycles. We can analyze Industrial Price indexes to gain further insights...

Moderate correlation in Industrial Production Prices



Industrial Production, Index 2017=100, Seasonally Adjusted, Sources: [FRED](#) & [Statistics Canada](#)

Correlation coefficient = 0.701924

- The industrial production prices have a moderate positive correlation, with a correlation coefficient of 0.70. When we look at the plot, we notice that generally both countries have an upward trend however the US had a way bigger slump during the 2008 financial crisis and COVID-19 Pandemic.
- It also shows that Canada had a better recovery and not as big troughs of significance unlike the US that had major fluctuations during crises.
- While there is some common movement, domestic factors seem to have a larger role in shaping industries, reducing the strength of the impact compared to inflation or bond yields.

This report shows us that Canadian monetary policy has significant similarities to and is greatly influenced by US business cycles. Strong correlations in policy rates, inflation and 10-year bond rates indicate the deep economic mirroring, suggesting that Canada's monetary decisions often mirror those of the US. However, we also notice that unemployment rates and industrial pricing indexes have only moderate movement, implying that the effect is not very large and there is some domestic divergence especially in the production and labour aspects of Canada. Overall, the presented data implies that US business cycles strongly impact Canadian monetary policy.